

ESLSCA UNIVERSITY
MASTER OF BUSINESS ADMINISTRATION

Accounting for Managers
Exercise Sheet- Lectures 3 to 7

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LECTURE THREE: Accounting cycle

TASK ONE: Journalize the following transactions to journal of ABC Co.

1. Owner invested \$100,000 cash in the business
2. The Co. borrowed a bank loan for \$200,000 in cash
3. The Co. provided cash services to clients for \$50,000 cash
4. The Co. provided credit services to a client for \$20,000 (on account)
5. The client in transaction 4 paid \$5,000 of her balance
6. The Co. purchased equipment for \$70,000 in cash
7. The Co. purchased inventory for \$40,000 on credit from suppliers
8. The Co. Sold the inventory purchased in previous transaction for \$50,000 in cash
9. The Co. purchased equipment for \$2,000 on credit
10. The Co. received and paid the advertising bill for the month for \$10,000 in cash
11. The Co. received the utilities bill for \$5,000
12. The Co. paid the above utilities bill
13. The owner withdrew \$5,000 in cash from the company for his personal use
14. The Co. purchased a one-year insurance policy for \$60,000 cash
15. The Co. received \$10,000 cash deposits from clients for services to be provided in the coming period

Required :

Date		Debit	Credit
1			
2			
3			
4			
5			
6			
7			
8			
9			
10			

11			
12			
13			
14			
15			

Preparing Trial Balance

Account Name	Debit	Credit
Cash		
Capital		
Equipment		
Accounts Receivable		
Revenue		
Loan		
Supplies		
Accounts Payable		
COGS		
Prepaid Insurance		
Unearned revenue		
Advertising expense		
Utilities expenses		
Drawings		
Total		

TASK EIGHT

Larry Matt completed these transactions during December of the current year:

December 1

Company issued 10,000 shares with a par value of \$10/share and Market value of \$100 /share

December 2 Purchased \$120,000 of office equipment in cash.

December 3 Purchased \$30000 of office supplies on credit.

December 4 Completed work for a client and immediately received payment of \$9000 cash.

December 8 Completed work for Precept Paper Company on credit, \$1,700.

December 10 Paid for the supplies purchased on credit on December 3.

December 14 Paid for the annual \$960 premium on an insurance policy providing coverage for the upcoming year.

December 18 Received payment in full from Precept Paper Company for the work completed on December 8.

December 27 Paid cash dividends of \$10,000 to owners

December 30 Paid \$175 cash for the December utility bills.

December 30 Received \$2,000 in advance from a client for services to be performed next year.

Required: Journalize the above transactions

Date		Debit	Credit
1			
2			
3			
4			
8			
10			
14			
18			
27			
30			
30			

Task Nine

Mary Sunny began business as Sunny Law Firm on November 1.

- a. Mary invested \$15,000 cash and a building valued at \$6,000.
- b. Purchased \$7,500 of office equipment from John Bronx on credit.
- c. Completed legal work for a client and received \$1,500 cash in full payment.
- d. Paid John Bronx \$3,500 cash in partial payment of the amount owed from transaction (b).
- e. Completed \$4,000 of legal work for a client on credit.
- f. Mary withdrew \$2,000 cash from the business for personal use.
- g. Received \$2,500 cash as partial payment for the legal work completed for the client in (e).
- h. Paid \$2,500 cash for the secretary's salary.
- i. Received \$10,000 down payments from some clients for services to be performed in the coming periods

Required: Journalize the above transactions

Date		Debit	Credit
A			
B			
C			
D			
E			
F			
G			
H			
I			

FINANCIAL STATEMENTS

FIRST: PROFIT AND LOSS STATEMENT

Net sales Revenues⁽¹⁾

-Cost of Sales (Cost of Goods Sold)

=Gross Profit

-Operating Expenses

Selling, General and Administrative Expenses

=Operating income

+/- Other income /Loss (Non operating items)⁽²⁾

=Earnings before taxes (EBT)

- Income Taxes expense (or provision for income tax)

=Net Profit after tax

EPS

⁽¹⁾Net sales Revenues

Gross Sales – trade discount- sales returns and allowances – cash discounts- sales rebates

⁽²⁾Other Income :Non-operating Gains and losses

- Gains and losses resulting from sale of fixed assets. calculated by the difference between selling price and book value
- Gain and losses on foreign currency transactions [FOREX gain/loss].
- Realized Gains and Losses from equity (stocks)/debt (bonds)securities.
- Unrealized Gains and losses -trading securities.
- Interest Income
- Interest Expense (financing Cost)
- Dividends Income : Dividends received from investments in other companies

Earnings Per Share (EPS)

=[Net Income- Dividends to Preferred Shareholders] / Number of common shares outstanding

TASK ONE

The following is a partial trial balance for the Greenwich Corporation as of December 31, year 1:

Accounts Titles

Net Sales Revenues		\$1947,000
Interest Revenue		38,000
Gain on Sale of Investments		55,000
Cost of Goods Sold	\$746,031	
Selling Expenses	165,785	
General and Administrative Expenses	48,300	
Interest Expense	46,500	
Income Tax Expense	134,400	

There were 178,500 shares of common stock outstanding throughout year 1.

Required:

Prepare a multiple-step income statement for year 1, including EPS disclosures, by inserting the amounts above into the appropriate section.

TASK TWO

The following data involves 2022 information related to Webster Company (\$000 omitted).

Administrative Expenses	8860
Cost of Goods Sold	63570
Rent revenue	7230
Selling Expenses	12420
Sales	106,500
Income tax expense	7580
Interest expense	1860

Instructions

Prepare an income statement for the year 2022. Number of Common shares outstanding for 2022 total 40,550 (000 omitted).

TASK THREE

The trial balance of Kroeger Ltd included the following accounts as of December 31, 2022:

	Debits	Credits
Sales revenue		8,200,000
Interest revenue		60,000
Gain on sale of investments		120,000
Gains on sale of land		140,000
Foreign currency transaction loss	160,000	
Cost of goods sold	6,100,000	
Selling expenses	600,000	
Research and Development expenses	500,000	
Interest expense	30,000	
General and administrative expenses	500,000	

Kroeger had 300,000 ordinary shares outstanding throughout the year. Income tax expense has not yet been accrued. The effective tax rate is 40%.

Required:

Prepare a 2022 separate statement of profit or loss for Kroeger Ltd and include earnings per share disclosures.

TASK FOUR

The Filzinger Corporation's December 31, 2021 year-end trial balance contained the following income statement items:

Account Title	Debits	Credits
Sales revenue		6,700,000
Interest revenue		70,000
Gain on sale of investments		52,000
Cost of goods sold	4,200,000	
Selling expense	350,000	
General and administrative expense	948,000	
Interest expense	30,000	
Research and development expense	600,000	
Income tax expense	145,000	

Required: Calculate the company's net profit for the year

Retained Earnings Account

Beginning Retained Earnings (From last year ending balance)

- + Net income → **From Income Statement**
- Dividends → (declared and/or paid in current year)
- = **End-of-year balance of retained earnings**

TASK FIVE

Presented below are certain account balances of Wade Products Co.

Interest Revenue	\$6500	Sales Discounts	\$7,800
Interest Expense	\$12,700	Selling expense	99,400
Beginning retained Earnings	114,000	Sales	400,000
Dividends Revenue	71,000	Income tax	26,600
Sales Returns	12,400	Cost of goods Sold	184,400
dividends declared during the current year	20,000	Administrative exp	82,500

Required: From the foregoing, compute the following:

- (a) Net sales=
- (b) Gross Profit=
- (c) Operating Income
- (d) Non operating income (loss)
- (e) Earnings Before taxes=
- (f) Net income
- (g) Ending Retained Earnings

TASK SIX

Presented below is information related to Brokaw Corp. for the year 2022.

Net Sales	\$1,200,000	Research and Development exp	\$80,000
Cost of Goods Sold	780,000	Gain on sale of building	40000
Selling Expenses	65,000	Loss on FOREX	50,000
Administrative Expenses	48,000	Cash Dividends Declared	45,000
Dividends Revenue	20,000	Retained Earnings at December 31, 2021 (=1/1/2022)	300,000
Interest Revenue	7,000	Effective tax rate 34% on all items	

Required

- a. Prepare a multiple-step income statement for 2022. Assume that 60,000 shares of common stock are outstanding.
- b. Compute retained earnings statement for 2022.

Comprehensive Income Statement

Total Comprehensive Income = Net Income +/- Other Comprehensive Income items

TASK SEVEN

The trial balance for Sunrise Corporation, a manufacturing company, for the year ended December 31, year 1, included the following income accounts:

Account Title	Debits	Credits
Sales Revenue		\$2450,000
Cost of Goods Sold	\$1,200,500	
Selling and Administrative Expenses	400,000	
Interest Expense	45,500	
Gain on debt Securities		88,000

The gain on debt securities is unrealized and classified as other comprehensive income. The trial balance does not include the accrual for income taxes. Sunrise's income tax rate is 25%. There were 1,000,000 shares of common stock outstanding throughout year 1.

Required: Prepare an income statement and comprehensive income for year 1, including appropriate EPS disclosures.

TASK EIGHT

The Maven Consulting Group reported income net of tax \$1,314,000 for its fiscal year ended December 31, year 1. In addition, during the year the company experienced a positive foreign currency translation adjustment before taxes \$252,000 and an unrealized gain on debt securities before taxes \$84,500. The company's effective tax rate on all items affecting comprehensive income is 35%.

Required:

Prepare a separate statement of comprehensive income for year 1.

Third : Statement of Stock holders' Equity

ABC Corporation Statement of Stockholders' Equity For the Year Ended December 31, 2020						
	Common Stock - par	Common Stock - excess of par	Retained Earnings	Accumulated Other Comprehensive Income	Treasury Stock	Total
Balance, Dec 31, 2019	xxx	xxxx	xxxxx	xxx	(xxx)	xxxxxx
Net earnings			xxxx			xxx
Other comprehensive income				xx		xx
Treasury stock purchases					(x)	(x)
Dividends			(xx)			(xx)
Balance, Dec 31, 2020	xxx	xxxx	xxxxxx	xxxx	(xxxx)	xxxxxx

See accompanying notes to the financial statements.

TASK NINE

For the year ending December 31, 2021, the accounts of Jackson Corporation showed the following balances

Capital Stock, January 1, 2021	\$500,000
Retained Earnings, beginning balance, January 1, 2021	\$100,000
Total Revenues earned during 2021	\$ 150,000
Total Expenses incurred during 2021	\$90,000
Total Dividends declared during 2021	\$10,000
Issuance of Stocks during 2021	\$50,000

Required:

Determine the components of stockholders' equity as of December 31, 2021

TASK TEN

Bryant Co. reports the following information for 2020:

Sales Revenue	\$750,000	Operating Expenses	\$80,000
Cost of Goods Sold	\$500,000	Unrealized holding loss on available for sale securities for 2020	\$50,000
Cash Dividends declared and paid	\$10,000	Capital stock issued during the year	\$50,000
Common Stock at Jan 1, 2020	\$350,000		
Accumulated Other Comprehensive Income on Jan 1	\$80,000		

Instructions Prepare a statement of stockholders' equity.

TASK ELEVEN

On December 31, 2022, Brave Corporation reported the following on its balance

Sheet:

Cash	\$22,000
Treasury stock (\$8 per share, at cost)	(16,000)
Retained earnings	130,000
Common stock, par \$5; (authorized 100,000 shares)	400,000
Capital in excess of par	?
Total contributed capital	540,000

Required:

Prepare the stockholders' equity section of the balance sheet.

TASK 12

The stockholders' equity section of Sosa Corporation appears below as of December 31, 2024.

6% preferred stock, \$50 par value, authorized 100,000 shares, outstanding 90,000 shares	\$4500,000
Common stock, \$1 par, authorized and issued 10 million shares	10,000,000
Additional paid-in capital	20,500,000
Retained Earnings	167,000,000
	202,000,000

Net income for 2024= 33,000,000 is net of taxes

Dividends of \$1,000,000 were declared and paid to common stockholders in 2024.

Instructions Compute earnings per share data as it should appear on the income statement of Sosa Corporation.

FOURTH: STATEMENT OF FINANCIAL POSITION

Current Assets:

1-Cash available for current operations and cash equivalent(short term highly liquid investments that are convertible to cash without significant losses and have maturities of three months maximum)

2-a-Financial investments at fair market value through income statement: Trading securities at Market price [Not Cost]

b- Financial Investments at market value through Other Comprehensive Income [Available for sale]

3-Receivables (Accounts or Notes): Gross value-allowance {provisions} for doubtful accounts.

4-Inventories (should include goods on consignment)

- Merchandising Inventory in Trading Companies or 3 types in manufacturing co.:
Raw material /Work in process WIP / Finished Product]
- Operating supplies and ordinary maintenance parts

5-Prepaid expenses. [Covering a year]

6-Funds Restricted for a current purpose

B.Non Current Assets

1-Cash restricted to withdrawal or use for other than current operations

2-Notes receivable collected after more than one year

3- Long Term Investments

- Held to maturity securities [Amortized cost]
- Financial Investments at market value through Other Comprehensive Income [AFS]
- Investment Property: [Investments in lands held for future sale]
- Investments in Consolidated Subsidiaries [Buying more than 51%]
- Investment in Non-consolidated subsidiaries (associates) [Buying from 20-50%]
influence but not control 1M +50,000 -equity method

4-Projects under construction

5-Property, plant, and equipment PPE (Assets used in business operations)

- Land at Cost (plant site) capital expenditure CAPEX
- Building [Recorded at book value= Cost - Accumulated depreciation]
- Office equipment [Recorded at book value= Cost - Accumulated depreciation]
- Right of use assets obtained under lease agreements. /Financing lease

6-Intangible assets: Goodwill (Recorded only in case of acquisitions) /Patents / Trademarks /Franchises/ Copyright/Software programs [All recorded at amortized cost]

7- Other long term assets such as prepaid expense covering more than one year)

Liabilities and stockholders' Equity

C. Current liabilities (Paid with in less than one year)

- Accounts payable / Notes payable
- Bank overdraft.
- Accrued interest on notes payable/Accrued compensation/ Accrued Salaries.
- Rent payable /Income taxes payable / Cash Dividends Payable
- Unearned revenue (Deferred Revenue)
- Current portion of Long term debt

D. Long-term liabilities (NON Current liabilities) (Paid after more than one year)

- Bonds payable / Long term Notes Payable /Bank loans
- Pension Obligations
- Obligations Capital Lease.
- Accrued Income taxes after more than one year

E. Stockholders' equity

1.Paid in capital

Preferred Stock (At par value X # of shares issued)

Common stock (At par value X # of shares issued)

(Premium Share or Additional paid-in capital: Difference between Market value/share and par value x # of shares issued)

2- Reserves (Legal Reserves/ Managerial Reserves)

3-Retained earnings [R/E beg balance + Net income - Dividends = R/E ending balance]

4. Accumulated other comprehensive income

5.Less: Treasury Stocks

TASK 13

Included in the December 31 trial balance of Rivera Company are the following assets.

Cash	\$ 190,000
Work in process	\$200,000
Equipment (net)	1,100,000
Receivables (net)	420,000
Prepaid insurance	41,000
Patents	110,000
Raw materials	335,000
Finished goods	170,000

Required:

Prepare the current assets section of the December 31 balance sheet

TASK 14

The calendar year-end balances for Blessinger Corporation as follows:

BLESSINGER CO.

December 31

Accounts payable		25,800
Prepaid Insurance	9,000	
Short term Investments	3,300	
Office equipment	38,000	
Accumulated depreciation–Equipment		3200
Building	288,000	
Accumulated depreciation–Building		46000
Land	500,000	
Franchises	200,000	
Deferred Revenue		14,500
Interest payable		2,500
		63000
Long-term note payable		
Capital Stock		500,000
Retained Earnings 31/12		532,300
Cash	\$ 122,000	
Accounts receivable	27,000	

Prepare a classified year-end balance sheet. (Note: A \$9,000 installment on the long-term note payable is due within one year.)

TASK 15

Bruno Company has decided to expand its operations. The bookkeeper recently completed the balance sheet presented on the current page in order to obtain additional funds for expansion.

Assets

Dec 31, 2021

Assets

Current assets

Cash	\$260,000
Accounts receivable	357,000
Inventories at cost	400,000
Trading securities—at cost	140,000

Non current assets

Long term Investments

Treasury Stocks	390,000
Land held for speculation	175,000

Property, plant, and equipment

Building (cost)	500,000
Office equipment (market value)	190,000

Intangible assets

Good will	80,000
Prepaid expenses (covering next year)	12,000

Liabilities and stockholders' Equity

Current liabilities

Accounts payable	135,000
Accrued rent expense	49,000

Long-term liabilities

Notes Payable due next year	5000
Long term bank Loan	82000
Bonds payable	500000

Stockholders' equity

Preferred Stock and Common stock (each \$10.00 par, 10,000 shares preferred and 19,000 shares common)	290,000
Additional paid-in capital	1,180,000
Retained earnings	???

Additional Information

- The cash balance is net of a bank overdraft of \$20000 from a different bank where the cash account is deposited
- The bank loan includes an annual installment of \$20,000 due next year
- Accumulated Depreciation on the building is \$70,000
- Equipment had a cost of \$200,000 and Accumulated Depreciation \$40,000
- Allowance for Doubtful Accounts is 17000
- Trading securities have a fair market value of \$120,000
- Inventory had a market value of 600,000

Required

1. Indicate your criticisms of the above statement of financial position (mention 10 mistakes) and briefly explain the proper treatment of the item being criticized.
2. Calculate the correct amount of current assets and current liabilities
3. Compute the company's working capital CA- CL

TASK 16

Presented below is a partial trial balance for the Messenger Corporation at December 31, 2021.

<u>Account Title</u>	<u>Debits</u>	<u>Credits</u>
Cash and cash equivalents	30,000	
Accounts receivable	195,000	
Raw materials inventory	36,000	
Notes receivable	120,000	
Interest receivable	4,000	
Interest payable		7,000
Investments	48,000	
Land	100,000	
Buildings	1,500,000	
Accumulated depreciation–buildings		740,000
Work in process inventory	38,000	
Finished goods inventory	98,000	
Equipment	400,000	
Accumulated depreciation–equipment		230,000
Franchise (net of amortization)	120,000	
Prepaid insurance (for the next year)	60,000	
Deferred revenue		48,000
Accounts payable		240,000
Notes payable		500,000
Salaries payable		6,000
Allowance for uncollectible accounts		24,000
Sales revenue		900,000
Cost of goods sold	500,000	
Salaries expense	48,000	

Additional information:

1. The notes receivable, along with any accrued interest, are due on November 1, 2022.
2. The notes payable are due in 2026. Interest is payable annually.
3. The investments consist of equity securities of other corporations. Management does not intend to sell any of the securities in the next year.
4. Deferred revenue will be recognized equally over the next 18 months

Required:

Determine the company's working capital (Current assets – current liab) at December 31, 2021.

TASK 17

The following is the 2019 balance sheet for the Nagoda Corporation does not conform with the accounting principles:

**The Nagoda Corporation
Balance Sheet (Asset Portion Only)
December 31, 2019**

Current Assets

Cash after deducting a bank overdraft of (\$5000)	46,500
Available-for-sale securities at cost (Fair value \$159,800)	185,800
Accounts Receivable (gross value)	745,000
Inventories valued at replacement cost (cost equals 1,455,000)	1,800,000
Notes Receivable (will be paid in 2021)	<u>310,000</u>
<u>Total Current Assets</u>	<u>3,087,300</u>

Long term Investments

Treasury Stocks	251,540
Trademarks	<u>70,000</u>
	<u>321,540</u>

Property, Plant and Equipment

Land held for speculation	2,575,000
Buildings at (fair value)	3,475,540
Equipment at book value (less of Accumulated Depreciation)	<u>332,100</u>
<u>Total Property, Plant and Equipment</u>	<u>8,382,640</u>

Intangible Assets

Goodwill (generated by the business since its beginning)	2,000,000
Investments in subsidiaries	<u>450,000</u>
<u>Total Intangible Assets</u>	<u>2,450,000</u>
<u>Total Assets</u>	<u>12,241,480</u>

Additional information

1. Allowance for Doubtful accounts are 45000
2. Historical cost of the building is 3,000,000 and its accumulated depreciation is 50,000.
3. Equipment have an accumulated depreciation of 72,000

Required:

Find all the errors that you can notice (10 errors at least) in the asset portion of the balance sheet of Nagoda Corporation and explain how each error should be corrected according to the accounting principles

TASK 18

The following is a December 31, 2019 trial balance for the Weismuller Publishing Company

Account Title	Debits	Credits
Cash	65,000	
Accounts Receivable	160,000	
Inventories	285,000	
Prepaid Expenses	148,000	
Machinery and equipment	320,000	
Accumulated Depreciation Machinery		110,000
Investments	140,000	
A/payable		60,000
Interest Payable		20,000
Unearned Revenue		80,000
Taxes Payable		30,000
Notes Payable		200,000
Allowance for uncollectible accounts		16,000
Common Stock		400,000
Retained Earnings		202,000
Totals	1118000	1118000

Additional Information: 120,000 (50% C/A 50% Non current Assets)
+28000C/A

1. Prepaid expenses include \$120,000 paid on December 31, 2019, for a two year rent on the building.
Prepaid exp 60,000 +28000=88000 Non 60,000
2. Investments include \$30,000 in treasury bills purchased on November 30, 2019. The bills mature on January 30, 2020. The remaining \$110,000 includes investments in marketable equity securities that the company intends to sell in the next year.
3. Unearned Revenues represent customer prepayments for magazine subscriptions for a period of less than one year.
4. The notes payable account consists of the following:
 - a. \$40,000 note in due in six months C/A
 - b. \$100,000 note due in six years. Non C/A
 - c. \$60,000 due in three annual installments of \$20,000 each, with the next installment due August 31, 2020
5. The common stock account represents \$400,000 shares of no par value common stock issued and outstanding, the corporation has 80,000 shares authorized.

Required:

Prepare a classified balance sheet for the Weimuller Publishing company at December 31, 2019

Fifth: Cash flow statement

Notes that can help you

Concerning cash flows from operating activities

We start by net income then we

- Add: Depreciation exp (either directly given in the income statement or calculated by the difference in accumulated depreciation from beginning of the period to the end)
- Any increase in Current assets (A/R, Prepaid Exp, Inventory) will be subtracted.
- Any decrease in Current assets (A/R, Prepaid Exp, Inventory) will be added
- Any increase in current liabilities (A/P, Accrued exp, exp payable) will be added.
- Any decrease in current liabilities (A/P, Accrued exp, exp payable) will be subtracted

Cash flows from investing

- An increase in property, plant and equipment (Land, building, furniture, vans....) or any investment account, means we purchased, then this is a cash outflow (subtracted)
- A decrease in property, plant and equipment (Land, building, furniture, vans....) or any investment account, means we sold, then this is a cash inflow (added)

Cash flows from financing activities

- An increase in common stocks or bonds payable means we issued stocks or bonds, then this is a cash inflow that should be added.
- A decrease in common stocks or bonds payable means we purchased the stocks or paid the bonds, then this is a cash outflow that should be subtracted.
Dividends always result in cash outflow that should be subtracted.

Exercises on Cash flow Statements

TASK 19

The accounting records of Rockness Company provided the data below (\$ in 000s).

Net income	\$25,200
Depreciation expense	3,300
Decrease in accounts receivable	2,000
Increase in inventory	4,500
Increase in prepaid insurance	300
Increase in salaries payable	900
Decrease in interest payable	400

Required:

Prepare a reconciliation of net income to net cash flows from operating activities.

TASK 20:

Martinez Corporation engaged in the following cash transactions during 2022.

Sale of land and building	\$191,000
Purchase of treasury stock	40,000
Purchase of land	37,000
Payment of cash dividend	95,000
Purchase of equipment	53,000
Issuance of common stock	147,000
Retirement of bonds	100,000

Required:

a-Compute the net cash provided by investing activities.

b-Compute the net cash used by financing activities

TASK 21 :

Use the following income statement and information about selected current assets and current liabilities to calculate the net cash provided or used by operating activities using the indirect method.

PULLMAN COMPANY Income Statement For Year Ended December 31, Year 2		
Sales		\$180,000
Cost of goods sold		<u>104,000</u>
Gross profit from sales		\$ 76,000
Operating expenses:		
Salaries and wages expense	\$25,000	
Depreciation expense	7,000	
Rent expense	7,200	
Interest expense	<u>1,900</u>	<u>41,100</u>
Income from operations		\$ 34,900

Selected beginning and ending balances of current asset and current liability accounts, all of which relate to operating activities, are as follows:

	Balance	
	<u>Dec. 31, Year 2</u>	<u>Dec. 31, Year 1</u>
Accounts receivable	\$27,600	\$24,000
Merchandise inventory	22,300	20,000
Prepaid rent	550	400
Accounts payable	27,100	26,000
Salaries and wages payable	10,400	9,000
Interest payable	300	250

TASK 22

A comparative balance sheet for Oprah Winfrey Company is presented below:

Assets	December 31, 2024	December 31, 2023=1/1/2024	Change
Cash	\$43,000	22,000	21,000
Accounts Receivable	85,000	66,000	19000
Inventories	180,000	189,000	(9000)
Land	75,000	110,000	(35000)
Equipment	260,000	200,000	60000
Accumulated Depreciation	(66,000)	(42,000)	24000
Total	617000	545,000	
Liabilities and Stockholders' equity			
Accounts Payable	34,000	47,000	(13000)
Bonds Payable	150,000	200,000	(50000)
Common Stock	214,000	164,000	50,000
Retained Earnings	199,000	134,000	65000
Treasury stock	20000-	0	+20000
Total	617,000	545,000	

Additional information

Net income for 2024 was \$105,000

Required:

Prepare a cash flow statement for the year ended December 31, 2024

TASK 23

The following is the financial data for Gully company

Assets	December 31, 2024	December 31, 2023	Change
Cash	54000	37000	17000
Accounts Receivable	68000	26000	42000
Inventories	54000	-0-	54000
Prepaid expenses	4000	6,000	-2000
Land	45000	70,000	-25000
Building	200,000	200,000	0
Accumulated Depreciation	(21000)	(11000)	+10,000
Equipment	193000	68000	+125,000
Accumulated Depreciation	(28000)	(10,000)	+18,000
Total	569000	386000	
Liabilities and Stockholders' equity			
Accounts Payable	23000	40,000	-17000
Accrued Expense payable	10,000	-0-	+10,000
Bonds Payable	110,000	150,000	-40,000
Common Stock	220,000	60,000	+160,000
Retained Earnings	206000	136,000	70,000
Total	569,000	386000	

Additional Information:

Net Income for the period is 125000

Required: Prepare a cash flow statement for the year 2024

TASK 24

The following is a comparative balance sheet for Anne Boleyn Corporation:

	<u>December 31</u>	
Assets	<u>2024</u>	<u>2023</u>
Cash	\$69,000	22,000
Accounts Receivable	82,000	66,000
Inventories	180,000	189,000
Land	75,000	110,000
Equipment	260,000	200,000
Accumulated Depreciation- equipment	<u>(69,000)</u>	<u>(42,000)</u>
	<u>597,000</u>	<u>545,000</u>
Total		
Liabilities and Stockholders' Equity		
Accounts Payable	\$34,000	47,000
Bonds Payable	150,000	200,000
Common Stock	214,000	164,000
Retained Earnings	<u>199,000</u>	<u>134,000</u>
Total	<u>597,000</u>	<u>545,000</u>

Additional Information

1. Net income for 2024 was \$115,000
2. Cash Dividends of \$50,000 were declared and paid
3. Bonds Payable amounting to \$50,000 were retired through the issuance of common stock

Required:

Prepare a statement of cash flows for 2024 for Anne Boeyn Corporation

MULIPLE CHOICE QUESTIONS

Choose the Correct Answer

1. Which of the following is a limitation of the balance sheet?

- a. Many items that are of financial value are omitted.
- b. Judgments and estimates are used.
- c. Current fair value is not reported.
- d. All of these

Answer: d

2. The statement of financial position is useful for analyzing all of the following **except**

- | | |
|-------------------|---------------------------|
| a. Liquidity. | c. Solvency. |
| b. Profitability. | d. Financial flexibility. |

Answer: b

3. The current assets section of the balance sheet should include

- | | |
|---------------|---------------|
| a. Machinery. | c. Patents. |
| b. Goodwill. | d. Inventory. |

Answer: d

4. Which of the following should **not** be considered as a current asset in the balance sheet?

- a. Installment notes receivable due over 10 months in accordance with normal trade practice.
- b. Prepaid taxes which cover assessments of the following operating cycle of the business.
- c. Equity or debt securities purchased for trading.
- d. The cash surrender value of a life insurance policy carried by a corporation on its president.

Answer: d

5. Which item below is **not** a current liability?

- | | |
|---|---------------------------|
| a. Unearned revenue | c. Accounts receivable |
| b. The currently maturing portion of long-term debt | d. Trade accounts payable |

Answer: c

6. An example of an item which is **not** an element of working capital is

- | | |
|--|-------------------------|
| a. Accrued interest on notes receivable. | c. Goodwill. |
| b. Goods in process. | d. Trading investments. |

Answer: c

7. Company had assets of \$100,000 and liabilities of \$60,000. What is the balance of stockholders' equity?

- a. \$0
- b. \$60,000.
- c. \$40,000
- d. \$100,000

Answer: c

8. Treasury stock should be reported as a(n)
- a. Current asset.
 - b. Other asset.
 - C. Investment.
 - D. Reduction of stockholders' equity.

Answer: d

9. Which of the following is **not** an acceptable major asset classification?
- a. Current assets
 - b. Property, plant, and equipment
 - c. Long-term investments
 - d. Deferred charges

Answer: d

10. Which of the following is a contra account?
- a. Premium on bonds payable
 - b. Patents
 - c. Unearned revenue
 - d. Accumulated depreciation

Answer : d

11. In preparing a statement of cash flows, sale of treasury stock would be classified as a(n)
- a. Operating activity.
 - b. Extraordinary activity.
 - c. Financing activity.
 - d. Investing activity.

Answer: c

12. In preparing a statement of cash flows, which of the following transactions would be considered an investing activity?
- a. Sale of equipment
 - b. Payment of a cash dividend
 - c. Sale of merchandise on credit
 - d. Issuance of bonds payable at a discount

Answer: a

13. For Grimmer Company, the following information is available:

Goodwill	\$200,000	Trademarks	65,000	Long-term
receivables	75,000			

In Grimmer's balance sheet, intangible assets should be reported at

- a. \$65,000.
- b. \$265,000.
- c. \$75,000.
- d. \$275,000.

Answer: b

14. Houghton Company has the following items: common stock, \$720,000; treasury stock, \$85,000; Taxes payable \$100,000 and retained earnings, \$313,000. What total amount should Houghton Company report as stockholders' equity?
- a. \$848,000.
 - c. \$948,000.

b. \$1,048,000.

d. \$1,118,000.

Answer: Common stock 720,000 – Treasury stock 85,000 +R/E 313,000=c

15. Which of the following is **not** a major characteristic of a plant asset?

a. Possess physical substance

c. Acquired for resale

b. Acquired for use

d. Long-term in nature

Answer: c

16. Stine Corp.'s trial balance reflected the following account balances at December 31, 2010:

Accounts receivable (net)	\$24,000
Trading securities	6,000
Accumulated depreciation on equipment and furniture	15,000
Cash	11,000
Inventory	30,000
Equipment	25,000
Patent	4,000
Prepaid expenses	2,000
Land held for future business site	18,000

In Stine's December 31, 2010 balance sheet, the current assets total is

a. \$90,000.

c. \$82,000.

b. \$77,000.

d. \$73,000.

Answer: A/R 24,000 + trading securities 6000 + cash 11000 + inventory 30,000 + prepaid exp 2000= 73000 d

17. Kinder Company purchased equipment for \$210,000 on 1/1/2015. The estimated residual value is \$10,000, and the estimated useful life is 10 years. The straight line method is used for depreciation. $(210000 - 10000) / 10$

What is the annual depreciation expense on this asset?

a. \$19,000

c. \$20,000

b. \$22,000

d. \$190,000

Answer : annual dep exp = $[210,000 - 10000] / 10 = 20000$ [c]

Annual dep = (cost - residual value) / UL

18. Refer to the previous problem, the book value of the equipment at end of the third year is:

a. \$180,000

c. \$200,000

b. \$170,000

d. \$150,000

Answer : Book value = cost 210000 – [Acc dep for 3 years 60,000]= 150,000 [d]

19-The primary difference between revenues and gains is:

- A. Gains are increases in net assets from peripheral activities while revenues are increases from ongoing activities.
- B. Revenues increase operating income and gains have no impact on net income.
- C. Revenues cause increases in net assets as a result of peripheral activities and gains cause increases through ongoing activities.
- D. Gains result in an increase in operating income whereas revenues do not impact operating income.

Answer: A

20. Lanz company has provided the following information

Cash Sales totaled \$255,000	Credit Sales totaled \$479,000
Cash collections from customers for services to be provided =\$88,000	
A \$22,000 loss from the sale of property, plant and equipment occurred	
Interest income was \$7,700	Interest Expense was \$19,900
Cost of Goods Sold \$336,000	Rent Expense was 36,000
Salaries Expense was \$49,000	Other operating expenses totaled \$79,00
Unearned Revenue \$4000	

Lantz Company has provided the following information:

How much was Lantz's operating income?

A. 219,700	B. 322,000	C.199,800	D.234,000
------------	------------	-----------	-----------

Answer: Revenues [255000 +479000]- Expenses[336000 +49000+ 36000+79000]= d

Extra exercises

1- If a company uses \$1,300 of its cash to purchase supplies, the effect on the accounting equation would be:

- A) Assets increase \$1,300 and liabilities decrease \$1,300.
- B) One asset increases \$1,300 and another asset decreases \$1,300, causing no effect.
- C) Assets decrease \$1,300 and equity decreases \$1,300.
- D) Assets decrease \$1,300 and equity increases \$1,300.
- E) Assets increase \$1,300 and liabilities increase \$1,300.

Answer: B

2- If a company receives \$12,000 from the owner to establish a proprietorship, the effect on the accounting equation would be:

- A) Assets decrease \$12,000 and equity decreases \$12,000.
- B) Assets increase \$12,000 and liabilities decrease \$12,000.
- C) Assets increase \$12,000 and liabilities increase \$12,000.
- D) Liabilities increase \$12,000 and equity decreases \$12,000.
- E) Assets increase \$12,000 and equity increases \$12,000.

Answer: E

3- An example of a financing activity is:

- A) Buying office supplies.
- B) Obtaining a long-term loan.
- C) Buying office equipment.
- D) Selling inventory.
- E) Buying land.

Answer: B

4- An example of an operating activity is:

- A) Paying wages.
- B) Purchasing office equipment.
- C) Borrowing money from a bank.
- D) Selling stock.
- E) Paying off a loan.

Answer: A

5- Net Income:

- A) Decreases equity.
- B) Represents the amount of assets owners put into a business.
- C) Equals assets minus liabilities.
- D) Is the excess of revenues over expenses.
- E) Represents owners' claims against assets.

Answer: D

- 6- If equity is \$300,000 and liabilities are \$192,000, then assets equal:
- A) \$108,000.
 - B) \$192,000.
 - C) \$300,000.
 - D) \$492,000.
 - E) \$792,000.

Answer: D

- 7-The difference between a company's assets and its liabilities, or net assets is:
- A) Net income.
 - B) Expense.
 - C) Equity.
 - D) Revenue.
 - E) Net loss.

Answer: C

- 8- When expenses exceed revenues, the result is called:
- A) Net assets.
 - B) Negative equity.
 - C) Net loss.
 - D) Net income.
 - E) A liability.

Answer: C

- 9- A resource that the owner takes from the company is called a(n):
- A) Liability.
 - B) Withdrawal.
 - C) Expense.
 - D) Contribution.
 - E) Investment.

Answer: B

- 10- On May 31 of the current year, the assets and liabilities of Riser, Inc. are as follows: Cash \$20,500; Accounts Receivable, \$7,250; Supplies, \$650; Equipment, \$12,000; Accounts Payable, \$9,300. What is the amount of owner's equity as of May 31 of the current year?
- A) \$49,700.
 - B) \$13,050.
 - C) \$20,500.
 - D) \$31,100.
 - E) \$40,400.

Answer: D

11- Saddleback Company paid off \$30,000 of its accounts payable in cash. What would be the effects of this transaction on the accounting equation?

- A) Assets, \$30,000 increase; equity, \$30,000 increase.
- B) Assets, \$30,000 decrease; liabilities, \$30,000 decrease.
- C) Assets, \$30,000 decrease; liabilities, \$30,000 increase.
- D) Liabilities, \$30,000 decrease; equity, \$30,000 increase.
- E) Assets, \$30,000 decrease; equity \$30,000 decrease.

Answer: B

12-If Houston Company billed a client for \$10,000 of consulting work completed, the accounts receivable asset increases by \$10,000 and:

- A) Accounts payable decreases \$10,000.
- B) Accounts payable increases \$10,000.
- C) Cash increases \$10,000.
- D) Revenue increases \$10,000.
- E) Revenue decreases \$10,000

Answer: D

13- If the assets of a business increased \$89,000 during a period of time and its liabilities increased \$67,000 during the same period, equity in the business must have:

- A) Increased \$22,000.
- B) Decreased \$22,000.
- C) Increased \$89,000.
- D) Decreased \$156,000.
- E) Increased \$156,000.

Answer: A

14-Use the following information and the indirect method to calculate the net cash provided or used by operating activities:

Net income	\$ 85,300
Depreciation expense	+ 12,000
Increase in merchandise inventory	- 2,050
Increase in accounts payable	+ 6,150

- A) \$69,900.
- B) \$101,400.**
- C) \$93,900.
- D) \$85,700.
- E) \$81,600.

16-Victor Cruz contributed \$70,000 in cash and land worth \$130,000 to open a new business, VC Consulting. Which of the following general journal entries will VC Consulting make to record this transaction?

- A) Debit Accounts Payable \$200,000; Credit Cruz, Capital, \$200,000.
- B) Credit Cash and Land, \$200,000; Credit Cruz, Capital, \$200,000.
- C) Debit Cash \$70,000; Debit Land \$130,000; Credit Cruz, Capital, \$200,000.
- D) Debit Cruz, Capital, \$200,000; Credit Cash \$70,000, Credit Land, \$130,000.
- E) Debit Cruz, Capital, \$200,000; Credit Assets, \$200,000.

Answer: C

17- Green Cleaning purchased \$500 of office supplies on credit. The company's policy is to initially record prepaid and unearned items in balance sheet accounts. Which of the following general journal entries will Green Cleaning make to record this transaction?

- A) Debit Office supplies expense, \$500; credit Cash, \$500.
- B) Debit Cash, \$500; credit Office supplies, \$500.
- C) Debit Office supplies, \$500; credit Cash, \$500.
- D) Debit Office supplies, \$500; credit Accounts payable, \$500.
- E) Debit Accounts payable, \$500; credit Office supplies, \$500.

Answer: D

18. Alicia Tax Services paid \$500 to settle an account payable. Which of the following general journal entries will Alicia Tax Services make to record this transaction?

- A) Debit Office supplies expense, \$500; credit Cash, \$500.
- B) Debit Cash, \$500; credit Office supplies, \$500.
- C) Debit Office supplies, \$500; credit Cash, \$500.
- D) Debit Office supplies, \$500; credit Accounts payable, \$500.
- E) Debit Accounts payable, \$500; credit Cash, \$500.

Answer: E

19) A law firm billed a client \$1,800 for work performed in the current month. Which of the following general journal entries will the firm make to record this transaction?

- A) Debit Accounts Receivable, \$1,800; credit Unearned Legal Fees Revenue, \$1,800.
- B) Debit Cash, \$1,800; credit Unearned Legal Fees Revenue, \$1,800.
- C) Debit Legal Fees Revenue, \$1,800; credit Accounts Receivable, \$1,800.
- D) Debit Accounts Receivable, \$1,800; credit Legal Fees Revenue, \$1,800.
- E) Debit Cash, \$1,800; credit Accounts Receivable, \$1,800.

Answer: D

20) A law firm collected \$1,800 on account for work performed in the previous month. Which of the following general journal entries will the firm make to record this collection of cash?

- A) Debit Accounts Receivable, \$1,800; credit Unearned Legal Fees Revenue, \$1,800.
- B) Debit Cash, \$1,800; credit Unearned Legal Fees Revenue, \$1,800.
- C) Debit Legal Fees Revenue, \$1,800; credit Accounts Receivable, \$1,800.
- D) Debit Accounts Receivable, \$1,800; credit Legal Fees Revenue, \$1,800.
- E) Debit Cash, \$1,800; credit Accounts Receivable, \$1,800.

Answer: E

21) A law firm collected \$1,800 in advance for work to be performed in three months. Which of the following general journal entries will the firm make to record this

transaction?

- A) Debit Accounts Receivable, \$1,800; credit Unearned Legal Fees Revenue, \$1,800.
- B) Debit Cash, \$1,800; credit Unearned Legal Fees Revenue, \$1,800.
- C) Debit Legal Fees Revenue, \$1,800; credit Accounts Receivable, \$1,800.
- D) Debit Accounts Receivable, \$1,800; credit Legal Fees Revenue, \$1,800.
- E) Debit Cash, \$1,800; credit Accounts Receivable, \$1,800.

Answer: B

22) Specter Consulting purchased \$7,000 of supplies and paid cash immediately. Which of the following general journal entries will Specter Consulting make to record this transaction? Assume the company's policy is to initially record prepaid and unearned items in balance sheet accounts.

A)

Accounts Payable	7,000	
Supplies		7,000

B)

Cash	7,000	
Supplies		7,000

C)

Supplies	7,000	
Cash		7,000

D)

Supplies	7,000	
Accounts Payable		7,000

E)

Supplies Expense	7,000	
Accounts Payable		7,000

Answer: C

23-If a company failed to make the end-of-period adjustment to move the amount of management fees that were earned from the Unearned Management Fees account to the Management Fees Revenue account, this omission would cause:

- A) An overstatement of net income.
- B) An overstatement of assets.
- C) An overstatement of liabilities.
- D) An overstatement of equity.
- E) An understatement of liabilities.

Answer: C

24- A company records the fees for legal services paid in advance by its clients in an account called Unearned Legal Fees. If the company fails to make the end-of-period adjusting entry to move the portion of these fees that has been earned to a revenue account, one effect will be:

- A) An overstatement of equity.
- B) An understatement of equity.
- C) An understatement of assets.
- D) An understatement of liabilities.
- E) An overstatement of assets.

Answer: B

25- The total amount of depreciation recorded for an asset for all periods for which an asset has been used:

- A) Is referred to as depreciation expense.
- B) Is referred to as accumulated depreciation.
- C) Is shown on the income statement of the final period.
- D) Is only recorded when the asset is disposed of.
- E) Is referred to as an accrued asset.

Answer: B

26) The periodic expense created by allocating the cost of plant and equipment to the periods in which they are used, representing the expense of using the assets, is called:

- A) Accumulated depreciation.
- B) A contra account.
- C) The expense recognition (matching) principle.
- D) Depreciation expense.
- E) An accrued account.

Answer: D

27- If throughout an accounting period the fees for legal services paid in advance by clients are recorded in an account called Unearned Legal Fees, the end-of-period adjusting entry to record the portion of those fees that has been earned is:

- A) Debit Cash and credit Legal Fees Earned.
- B) Debit Cash and credit Unearned Legal Fees.
- C) Debit Unearned Legal Fees and credit Legal Fees Earned.
- D) Debit Legal Fees Earned and credit Unearned Legal Fees.
- E) Debit Unearned Legal Fees and credit Accounts Receivable.

Answer: C

28) On April 1, a company paid the \$1,350 premium on a three-year insurance policy with benefits beginning on that date. What amount of the insurance expense will be reported on the annual income statement for the year ended December 31?

- A) \$1,350.00.
- B) \$450.00.
- C) \$1,012.50.
- D) \$337.50.
- E) \$37.50.

Answer: D

29) On July 1, a company paid the \$2,400 premium on a one-year insurance policy with benefits beginning on that date. What will be the insurance expense on the annual income statement for the first year ended December 31?

- A) \$1,200.
- B) \$2,400.
- C) \$1,000.
- D) \$400.
- E) \$1,400.

Answer: A

30) In preparing a company's statement of cash flows using the indirect method, the following information is available:

Net income	\$ 52,000
Accounts payable increased by	18,000
Accounts receivable decreased by	25,000
Inventories increased by	5,000
Depreciation expense	30,000

Net cash provided by operating activities was:

- A) \$120,000.
- B) \$60,000.
- C) \$70,000.
- D) \$80,000.
- E) \$130,000.

Answer: A

Explanation:

Net income	\$ 52,000
Depreciation exp.	30,000
Decrease in A/R	25,000
Increase in Inventories	(5,000)
Increase in A/P	18,000
	\$ 120,000

31) Analysis reveals that a company had a net increase in cash of \$20,000 for the current year. Net cash provided by operating activities was \$18,000; net cash used in investing activities was \$10,000 and net cash provided by financing activities was \$12,000. If the year-end cash balance is \$24,000, the beginning cash balance was:

- A) \$4,000.
- B) \$16,000.
- C) \$44,000.
- D) \$40,000.
- E) \$39,000.

Answer: A

32) In preparing a company's statement of cash flows using the indirect method, the following information is available:

Net income	\$ 52,000
Accounts payable decreased by	18,000
Accounts receivable increased by	25,000
Inventories increased by	5,000
Depreciation expense	30,000

Net cash provided by operating activities was:

- A) \$34,000.
- B) \$60,000.
- C) \$70,000.
- D) \$80,000.
- E) \$52,000.

Answer: A

Explanation:

Net income	\$ 52,000
Depreciation exp.	30,000
Increase in A/R	(25,000)
Increase in Inventories	(5,000)
Decrease in A/P	(18,000)
	<u>\$ 34,000</u>

33-Match the following terms with the appropriate definition.

- A. Plant assets
- B. Owner's capital
- C. Classified balance sheet
- D. Intangible assets
- E. Current ratio
- F. Closing entries
- G. Current liabilities
- H. Long-term investments
- I. Current assets

J. Unclassified balance sheet

- _____ 1. The owner's claim on the assets of a company.
- _____ 2. Tangible assets that are long-lived and used to produce or sell products or services.
- _____ 3. Cash and other resources that are expected to be sold, collected, or used within one year or the company's operating cycle, whichever is longer.
- _____ 4. Entries recorded at the end of each accounting period to transfer end-of-period balances in revenue, expense, and withdrawals accounts to the permanent owner's capital account.
- _____ 5. Long-term resources that benefit business operations, usually lack physical form, and have uncertain benefits.
- _____ 6. Assets that are held for more than the longer of one year or the operating cycle of the company and are not used in operations.
- _____ 7. A balance sheet that organizes the assets and liabilities into important subgroups.
- _____ 8. Obligations due to be paid or settled within one year or the operating cycle of a business, whichever is longer.
- _____ 9. A balance sheet that broadly groups items into assets, liabilities and equity.
- _____ 10. A ratio that is used to help evaluate a company's ability to pay its short-term obligations, calculated by dividing current assets by current liabilities.

Answer: 1. B; 2. A; 3. I; 4. F; 5. D; 6. H; 7. C; 8. G; 9. J; 10. E

34 -Indicate the typical classification of each item below by placing the letter of the correct balance sheet category a through g in the blank space next to the item.

- 1) _____ Equipment used in business operations
- 2) _____ Store Supplies
- 3) _____ Investment maturing in two years
- 4) _____ Long-term Note Payable
- 5) _____ Prepaid Rent
- 6) _____ D. Flanders, Capital
- 7) _____ Accounts Payable
- 8) _____ Current portion of long-term debt
- 9) _____ Trademarks
- 10) _____ Wages Payable
- 11) _____ Accounts Receivable
- 12) _____ Cash

Classified balance sheets commonly include the following categories.

- a. Current assets
- b. Long-term investments
- c. Plant assets
- d. Intangible assets
- e. Current liabilities
- f. Long-term liabilities
- g. Equity.

Answer: 1. C; 2. A; 3. B; 4. F; 5. A; 6. G; 7. E; 8. E; 9. D; 10. E; 11. A; 12. A

Practice Exercises

1-The following December 31 year-end adjusted trial balance is for Heath Wilmer Co.. The credit balance in Heath Wilmer, Owner Capital at the beginning of the year, January 1, was \$320,000. The owner, Heath Wilmer, invested an additional \$300,000 during the current year. The land held for future expansion was also purchased during the current year.

Heath Wilmer Co.

Adjusted Trial Balance

December 31

Cash	\$ 90,000	
Accounts receivable	18,000	
Prepaid insurance	6,000	
Office supplies	2,000	
Investments in stocks	150,000	
Land held for future expansion	300,000	
Office equipment	18,000	
Accumulated depreciation–Equipment		\$4,000
Building	600,000	
Accumulated depreciation–Building		170,000
Intangible assets–licensing agreement	50,000	
Accounts payable		17,800
Salaries payable		16,400
Long-term note payable		224,000
Heath Wilmer, Capital		620,000
Heath Wilmer, Withdrawals	60,000	
Service fees earned		470,800
Salaries expense	180,000	
Insurance expense	12,000	
Rent expense	25,000	
Depreciation expense–Equipment	2,000	
Depreciation expense–Building	<u>10,000</u>	
Totals	<u>\$1,523,000</u>	<u>\$1,523,000</u>

Required:

Prepare a classified year-end balance sheet. (Note: A \$22,000 installment on the long-term note payable is due within one year.)

Answer:

**Heath Wilmer Company
Classified Balance Sheet
December 31**

Assets

Current assets

Cash		\$ 90,000	
Accounts receivable		18,000	
Prepaid insurance		6,000	
Office supplies		<u>2,000</u>	
Total current assets			\$116,000

Long-term investments

Investments in stocks		\$150,000	
Land held for future expansion		<u>300,000</u>	
Total long-term investments			450,000

Plant assets

Office equipment	\$ 18,000		
Less: accumulated depreciation	<u>4,000</u>	\$14,000	
Building	600,000		
Less: accumulated depreciation	<u>170,000</u>	<u>430,000</u>	
Total plant assets			444,000

Intangible assets—licensing agreement

			<u>50,000</u>
Total assets			<u>\$1,060,000</u>

Liabilities

Current liabilities			
Accounts payable		\$17,800	
Salaries payable		16,400	
Current portion of long-term debt		<u>22,000</u>	
Total current liabilities			\$ 56,200

Long-term liabilities

Long-term note payable			<u>202,000</u>
Total liabilities			\$ 258,200

Equity

Heath Wilmer, Equity			<u>801,800</u>
Total liabilities and equity			<u>\$1,060,000</u>

Net income \$470,800 - \$180,000 - \$12,000 - \$25,000 - \$2,000 - \$10,000 = \$241,800

Ending Equity = \$620,000 + \$241,800 - \$60,000 = \$801,800

2 – The following is a one step income statement for lake wood Inc.

Lakewood Inc.
Income Statement
For the Year Ended December 31, 2021

Revenues and gains:	
Sales revenue	\$1,800,000
Gain on sale of investments	50,000
Interest revenue	<u>80,000</u>
Total revenues and gains	1,930,000
Expenses and losses:	
Cost of goods sold	\$1,100,000
Selling expense	220,000
General and administrative expense	200,000
Interest expense	40,000
Loss on inventory write-down	<u>30,000</u>
Total expenses and losses	<u>1,590,000</u>
Income before income taxes	340,000
Income tax expense	<u>85,000</u>
Net income	<u>255,000</u>

Earnings per share: \$2.55

Required: Prepare a multiple-step income statement with earnings per share disclosure.

Answer:

Lakewood Inc.
Income Statement
For the Year Ended December 31, 2021

Sales revenue	\$1,800,000
Cost of goods sold	<u>1,100,000</u>
Gross profit	700,000
Operating expenses:	
Selling expense	\$220,000
General and administrative expense	200,000
Loss on inventory write-down	<u>30,000</u>
Total operating expenses	<u>450,000</u>
Operating income	250,000
Other income (expense):	
Gain on sale of investments	50,000
Interest revenue	80,000
Interest expense	<u>(40,000)</u>
Total other income, net	<u>90,000</u>
Income before income taxes	340,000
Income tax expense	<u>85,000</u>
Net income	<u>255,000</u>
Earnings per share	<u>\$2.55</u>

3- World Services Inc. has provided the following information pertaining to the month ended October 31, 2022:

Sales revenue	\$100,000	Supplies expense	\$1,500
Interest expense	6,900	Rent expense	4,000
Cost of goods sold	60,000	Salaries expense	9,500
Dividends paid	5,000	Utilities expense	1,100
Advertising expense	4,500	Loss on sale of land	3,200
Dividends declared	7,100	Income tax expense	3,800
Unearned revenues	6,100		

Required:

Prepare a multiple income statement for the month ended October 31, 2022.

Sales Revenue	100,000
Less: Cost of Goods Sold	60,000
=Gross Profit	40,000
Less: Operating Expenses	
Advertising Expense 4500	
Supplies Expense 1,500	
Rent Expense 4,000	
Salaries Expense 9,500	
Utilities Expense 1,100	(20,600)
Operating Income	19,400
Other Income (Expense)	
Loss on sale of land	(3200)
EBIT	16,200
Interest expense	(6900)
Earnings Before Taxes	9300
-Income tax expense	(3800)
Net Income	5500

4- McEntire Corporation began operations on January 1, 2019. During its first 3 years of operations, McEntire reported net income and declared dividends as follows.

	Net Income	Dividends Declared
2019	\$40,000	-0-
2020	125,000	50,000
2021	160,000	50,000

The following information relates to 2022.

Income before income tax	\$220,000
Dividends declared (of this amount, \$25,000 will be paid on Jan. 15, 2023)	\$100,000
Effective tax rate	40%

Instructions: Prepare a 2022 retained earnings statement for McEntire Corporation

Answer:

Beginning Balance Retained Earnings: Income retained from 2019 +2020 +2021=

$$[40,000 - 0] + [125,000 - 50,000] + [160,000 - 50,000] = \mathbf{225,000}$$

Retained earnings account=

Beginning Retained Earnings Balance = **225,000**

Net income = 220,000 x 60% = **132,000**

Dividends Declared **(100,000)**

Retained Earnings December 31, 2022 **257,000**